INTERNATIONAL FINANCIAL MARKET

The international financial market refers to a global marketplace where individuals, institutions, and governments engage in the buying and selling of various financial instruments. Some of the major international financial markets include:

- ✓ **Foreign Exchange Market (Forex)**: The Forex market is the largest and most liquid financial market in the world. It involves the buying and selling of currencies, allowing participants to trade one currency for another.
- ✓ **Stock Market:** Stock markets are where shares of publicly traded companies are bought and sold. Some prominent stock exchanges include the New York Stock Exchange (NYSE), London Stock Exchange (LSE), Tokyo Stock Exchange (TSE), etc
- ✓ **Bond Market:** The bond market is where governments, corporations, and institutions issue and trade debt securities, known as bonds. Major bond markets include the United States Treasury market, European bond markets, and the Japanese bond market.
- ✓ **Money Market:** The money market deals with short-term borrowing, lending, buying, and selling of financial instruments with high liquidity and low risk. It includes instruments such as Treasury bills, commercial paper, certificates of deposit, and short-term government bonds. etc

RISKS ASSOCIATED WITH INTERNATIONAL FINANCIAL MARKET INCLUDING INTEREST RATE DETERMINATION

The international financial market has various risks associated with it among which are:

- ✓ **Currency Risk**: Also known as exchange rate risk, currency risk arises due to fluctuations in exchange rates. If an investor or institution holds investments denominated in a foreign currency, changes in exchange rates can affect the value of those investments when converted back to the domestic currency. Currency risk can impact international trade, foreign investments, and profitability.
- ✓ **Political and Country Risk**: Political instability, changes in government policies, geopolitical tensions, and legal or regulatory uncertainties can create risks in international financial markets. These factors can affect investments, trade relations, and the overall economic environment in a country.

- ✓ **Interest Rate Risk:** Interest rate risk refers to the potential impact of changing interest rates on investments. In the international financial market, interest rate determinations by central banks can influence borrowing costs, bond yields, and investment returns. Changes in interest rates can affect the value of fixed-income securities, such as bonds, and impact the cost of borrowing for businesses and individuals.

- ✓ **Credit Risk:** Credit risk is the risk of default by borrowers or counterparties. In the international financial market, credit risk can arise from lending to foreign governments, companies, or individuals. It also includes the risk of non-payment or delayed payment for goods and services in international trade transactions.

- ✓ **Liquidity Risk:** Liquidity risk refers to the potential difficulty of buying or selling financial instruments without causing significant price changes. In international markets, liquidity risk can arise due to time zone differences, market closures, or limited market participants. Illiquid markets can result in wider bid-ask spreads and make it challenging to execute trades at desired prices.

- ✓ **Systemic Risk:** Systemic risk refers to risks that can lead to disruptions in the entire financial system, impacting multiple institutions and markets. Global financial crises, economic recessions, or contagion effects can trigger systemic risks. These risks can arise from factors such as excessive leverage, interconnectedness among financial institutions, or inadequate risk management practices.

HEDGING AGAINST CURRENCY RISK

Hedging against currency risk involves taking measures to mitigate potential losses or adverse effects resulting from fluctuations in exchange rates. Hedging strategies are employed by businesses, investors, and individuals to protect against the volatility and uncertainty of currency movements. The following are some common hedging techniques:

- Forward Contracts: A forward contract is a widely used hedging instrument that allows participants to lock in an exchange rate for a future date. By entering into a forward contract, an entity agrees to buy or sell a specific amount of currency at a predetermined rate. This helps to eliminate the uncertainty of future exchange rate fluctuations and provides protection against adverse currency movements.

- Currency Options: Currency options provide the right, but not the obligation, to buy or sell a specific currency at a predetermined exchange rate within a specified time frame. Purchasing a currency option gives the holder the flexibility to exercise the option if the exchange rate moves unfavorably. This way, they can limit potential losses while benefiting from favorable currency movements.
- Currency Swaps: Currency swaps involve the exchange of principal and interest payments in different currencies between two parties. These arrangements help mitigate exchange rate risk by allowing participants to access a desired currency without being exposed to the fluctuations in the spot exchange rate.
- Netting and Matching: For companies with international operations, netting involves offsetting foreign currency inflows against outflows within the same time period. Matching involves aligning currency inflows and outflows to minimize exposure. These techniques help reduce the overall currency risk by balancing the impact of exchange rate movements.
- Natural Hedging: Natural hedging refers to conducting business operations in multiple currencies to offset the effects of currency fluctuations. For example, a company may have revenues in one currency and expenses in another. This natural balance can act as a hedge against exchange rate risk.

Determination of Exchange Rate

Exchange rates are determined by the foreign exchange market, where currencies are bought and sold. The exchange rate between two currencies represents the price at which one currency can be exchanged for another. The exchange rate determination involves various factors and mechanisms:

- Supply and Demand: Like any other market, the foreign exchange market is influenced by supply and demand dynamics. If there is a higher demand for a particular currency compared to its supply, its value tends to rise, leading to a stronger exchange rate. Conversely, if the supply exceeds demand, the currency's value may decline, resulting in a weaker exchange rate.
- Interest Rates: Interest rates set by central banks play a significant role in exchange rate determination. Higher interest rates can attract foreign investors seeking higher returns, leading to increased demand for the currency and potentially strengthening its exchange rate. Conversely, lower

EXCHANGE RATE

"An exchange rate is the value of one currency in terms of another currency. It determines how much of one currency you would need to exchange in order to get a certain amount of another currency.

RELATED TERMS IN EXCHANGE RATE

Direct Quote: A direct quote is a way of expressing the value of a country's currency in terms of another country's currency. For example, if the direct quote for USD to EUR is 0.85, it means 1 US dollar is equivalent to 0.85 euros.

Indirect Quote: An indirect quote is the opposite of a direct quote. It expresses the value of a foreign currency in terms of the domestic currency. Using the same example, if the indirect quote for EUR to USD is 1.18, it means 1 euro is equivalent to 1.18 US dollars.

Spot Rate: The spot rate refers to the current exchange rate at which a currency pair can be bought or sold for immediate delivery. It's the rate you would pay if you were to exchange currencies on the spot, which means without any delay.

Forward Rate: A forward rate is the exchange rate at which two parties agree to exchange currencies at a predetermined future date. It's a contract that allows individuals or businesses to lock in an exchange rate for a specific date in the future, which can help them hedge against currency fluctuations. Most a times where there is a forward rate it result in discount or premium interest rates may reduce the attractiveness of a currency, leading to a weaker exchange rate.

- Economic Factors: Economic indicators such as inflation, economic growth, trade balances, and employment levels can impact exchange rates. A strong and growing economy, low inflation, and positive trade balances can attract investors, increasing demand for the currency and potentially strengthening the exchange rate.
- Government Intervention: In some cases, governments and central banks may intervene in the foreign exchange market to influence the exchange rate. They may buy or sell currencies to stabilize or manipulate the exchange rate to support their economic objectives, such as promoting exports or managing inflation.
- Market Sentiment and Speculation: Market sentiment and speculative activities by traders and investors can also influence short-term exchange rate movements. News events, geopolitical developments, and investor expectations can create volatility and impact currency valuations.

CORPORATE STRATEGY

Corporate strategy refers to the overall plan and direction of a company at the highest level. It involves making long-term decisions that guide the organization towards achieving its goals and creating value for its stakeholders, such as shareholders, employees, customers, and communities. It provides a roadmap for the company's overall direction and guides decision-making across various functional areas, such as marketing, operations, finance, and human resources.

The primary objective of corporate strategy is to determine how a company will allocate its resources, deploy its capabilities, and position itself in the market to gain a competitive advantage. It involves analyzing the external business environment, assessing internal capabilities and resources, and formulating a strategy that aligns these factors to achieve sustainable growth and profitability.

Types of corporate strategy

- Business Unit Strategy: Business unit strategy focuses on individual business units or divisions within a company. It addresses how each unit can achieve its objectives and contribute to the overall corporate strategy.

Business unit strategies involve decisions regarding market positioning, product/service offerings, competitive advantage, and resource allocation specific to that unit.

- Functional Strategy: Functional strategies are developed for specific functional areas within an organization, such as marketing, finance, operations, and human resources. These strategies define how each function supports the overall corporate and business unit strategies. Functional strategies align the activities and resources within each department to ensure they are contributing effectively to the organization's objectives.
- Competitive Strategy: Competitive strategy focuses on gaining a competitive advantage in the market. It involves making choices about how to position the company relative to its competitors. Competitive strategies can be based on factors such as cost leadership, differentiation, innovation, or a focus on specific market segments.
- Financial Strategy: Financial strategy relates specifically to the management of a company's financial resources. It encompasses decisions regarding capital structure, financing options, investment allocation, risk management, and financial performance targets. Financial strategy is crucial for ensuring the company's financial health, stability, and profitability.

Relationship between Corporate Strategy and Financial Strategy

Corporate strategy sets the overall direction and goals of the organization, while financial strategy provides the financial framework and resources to support the execution of that strategy.

Specifically, they are related as follows

- **Resource Allocation:** Corporate strategy determines the allocation of resources across different business units, and financial strategy helps to allocate financial resources effectively to support those strategic initiatives.
- **Investment Decision**-Making: Corporate strategy identifies growth opportunities and potential investments, and financial strategy assesses the financial feasibility and potential returns of those investments. Financial strategy guides decisions regarding capital budgeting, project financing, and investment prioritization.

- **Risk Management:** Corporate strategy involves identifying and managing various risks, and financial strategy provides mechanisms and tools for risk assessment, mitigation, and financial contingency planning. Financial strategy helps ensure that the company can withstand potential financial risks associated with executing the corporate strategy.
- **Performance Evaluation:** Financial strategy establishes financial performance metrics and targets, which are aligned with the strategic objectives of the organization. Financial performance is measured to assess the effectiveness of the corporate strategy and guide adjustments or refinements as needed.

- **Reporting and Transparency:** Financial strategy ensures proper financial reporting, compliance with accounting standards, and transparency in communicating the financial performance of the organization. This transparency is vital for stakeholders to understand the financial implications and outcomes of the corporate strategy.

Long term strategic planning

Long-term strategic planning is a process that involves developing a comprehensive plan to guide an organization's actions and decisions over an extended period, specifically covering three to five years or even more. It focuses on setting long-term goals, identifying the necessary actions to achieve those goals, and outlining the resources and capabilities required for success.

Differences between strategic, tactical and operational planning

Strategic planning, tactical planning, and operational planning are three distinct levels of planning within an organization. Strategic planning sets the overall direction and goals, tactical planning translates the strategy into actionable plans, and operational planning focuses on executing the day-to-day tasks to achieve specific objectives.

- **Strategic Planning:**

Strategic planning is the highest level of planning and focuses on setting the long-term direction and goals of an organization. It involves making decisions that affect the overall scope and direction of the company. Strategic planning addresses questions such as "Where do we want to go?" and "How do we get there?" It typically covers a period of three to five years or more.

Characteristics of strategic planning include:

i. Long-term perspective: Strategic planning looks ahead to the organization's future, considering factors such as market trends, competitive landscape, and emerging opportunities.

ii. Broad in scope: It encompasses the entire organization and its various business units or divisions.

iii. High-level decision-making: Strategic planning involves decisions that impact the overall direction, resource allocation, and strategic priorities of the organization.

iv. Focus on competitive advantage: Strategic planning aims to identify and use the organization's strengths and opportunities to gain a sustainable competitive advantage in the market.

v. Involvement of top management: Strategic planning is typically led by senior executives and involves board members, CEOs, and other key decision-makers.

Tactical Planning:

Tactical planning occurs at the middle management level and translates the strategic goals and direction into specific actions and initiatives. It focuses on implementing the strategic decisions and addressing questions such as "What steps do we need to take to achieve our goals?" and "How can we allocate resources effectively?"

Characteristics of Tactical Planning

i. Medium-term perspective: Tactical planning typically covers a period of one to three years.

ii. Department or unit-level focus: Tactical planning is specific to individual departments or units within the organization.

iii. Operational alignment: It ensures that the operational activities are aligned with the overall strategic direction.

iv. Resource allocation: Tactical planning involves allocating resources, setting budgets, and determining the necessary capabilities to support the implementation of the strategy.

v. Involvement of middle management: Middle managers and department heads are typically responsible for tactical planning, working closely with senior management to translate the strategic goals into actionable plans.

Operational Planning:

Operational planning is the lowest level of planning and focuses on day-to-day operations and activities required to achieve specific objectives. It involves translating tactical plans into specific tasks and actions. Operational planning addresses questions such as "What needs to be done?" and "Who will do it?

Characteristics of Operational Planning

Short-term perspective: Operational planning covers a period of days, weeks, or months.

i. Detailed and specific: It outlines the specific tasks, responsibilities, and timelines for executing the tactical plans.

ii. Direct involvement: Operational planning is carried out by supervisors and frontline managers who oversee the implementation of operational activities.

iii. Resource utilization: It involves managing resources, scheduling, and coordination to ensure smooth operations and efficient execution.

iv. Focus on execution: Operational planning emphasizes the implementation of plans, monitoring progress, and making adjustments as necessary.

LONG TERM FINANCIAL PLANNING

Long-term financial planning involves developing a comprehensive strategy to manage an organization's financial resources and achieve its long-term financial goals. It focuses on forecasting and planning for the financial needs and resources of the organization over an extended period, typically ranging from three to ten years or more.

Long-term financial planning provides organizations with a structured approach to manage their financial resources effectively, make informed decisions, and work towards achieving their long-term financial goals. It helps in ensuring financial stability, profitability, and sustainability over an extended period.

Swiss franc. Sfr

Example I

Given an exchange rate of 306 ₦/$ and cedis/$ of 320, what is the exchange rate ~~for~~ quoted for cedis/₦?

2) Example 2:- You are given the following quotes

Spot Sfr/$ = 1.3598

3 months forward Sfr/$ = 1.3471

i Is the dollar trading at a discount or a premium?

ii What is the ~~annalised~~ annualised forward premium or discount?

Example 3:

Adama breverages Ltd, is evaluating an investment project overseas ~~₦~~ in East Asia, a politically stable economy. The project involves the establishment of a training centre for ~~its~~ employees. The project will cost an initial outlay of 5m east asian dollars (EA$) and it is expected to earn post tax cash flows as follows.

Year	1	2	3	4
Cash flows (EA$ 000)	1500	1900	2500	2700

The following information is available:

(a) The expected rate of inflation in East Asia is 6% a year

(b) Real interest rates in the two countries are the same, they are expected to remain the same for the period of the project

(c) The current spot rate ~~is~~ EA$ $4 per ₦1

(d) The risk-free rate of interest in East Asia is 14% and in Nigeria is 18%

(e) Adama beverage requires a naira return from this project of 16%

Required:

calculate the Naira net Present value of the project using ~~both the following method~~

(a) By discounting annual cashflows in Naira

(b) ~~By discounting annual cashflows in A~~